

Cash Flow Red Flags Checklist

10 warning signs your business is bleeding cash — and what to do about each one.

REVIEW EACH ITEM. CHECK OFF WHAT APPLIES.

1

You invoice after the work is complete

Invoicing late delays your entire cash cycle. Switch to upfront deposits or milestone billing.

2

You don't know your 30-day cash position

If you can't see 30 days out, you're flying blind. Build a simple cash flow forecast — even a spreadsheet works.

3

Vendor contracts auto-renew without review

Auto-renewals trap you in terms you've outgrown. Audit every contract annually and set calendar reminders before renewal dates.

4

You're paying invoices before they're due

Early payment is free money given to vendors. Pay on the due date — not before — and keep that cash working for you.

5

You have no late payment policy

Without consequences, late payment becomes normal. Add a clear late fee clause to every contract and enforce it.

6

You're relying on one or two clients for 50%+ revenue

Concentration risk is a cash flow time bomb. One lost client can crater your business. Diversify actively.

7

You don't track receivables aging

Unpaid invoices past 60 days are collection problems, not cash flow. Review your AR aging weekly.

8

Your commission or fee structure isn't in writing

Verbal agreements lead to disputes and delayed payment. Every engagement needs a signed scope with clear payment terms.

9

You're carrying subscription or retainer costs you don't use

Recurring costs are the silent killers. Audit every recurring charge quarterly and cut anything that isn't actively earning its keep.

10

You have no cash reserve

Operating without a reserve means one slow month becomes a crisis. Target 60-90 days of operating expenses in liquid savings.

Get the full toolkit at cashflowbalance.gumroad.com